Master Lease

Dated as of August 15, 2024

This Master Lease is made between Calder Works Owner LLC, as Lessor, and Calder Works Master Tenant LLC, as Lessee, with respect to certain buildings at 1200 Commerce Street, Lynchburg, Virginia.

Article 3

Section 3.1 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 3.2 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Section 3.3 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 3.4 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 3.5 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 3.6 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Section 3.7 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 3.8 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Article 2 - Premises

Section 2.1 Premises. Lessor hereby leases to Lessee, and Lessee hereby leases from Lessor, Buildings A and B and the land appurtenant thereto, as described in Exhibit A, together with all improvements and fixtures therein; excepting and reserving to Lessor Building C and the parking deck, which are excluded from the Premises and shall be operated by Lessor for its own account.

Section 2.2 Operation. Lessee shall have exclusive possession of the Premises, shall operate the Premises as residential rental property, and shall be solely responsible for leasing, management and day-to-day operation, including the engagement of any property manager.

Section 3.9 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 3.10 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 3.11 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 3.12 Insurance. During the term of this Agreement, Calder Works Master Tenant LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Calder Works Owner LLC may reasonably require. Each policy shall name Calder Works Owner LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Article 4

Section 4.1 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 4.2 Environmental Matters. Calder Works Master Tenant LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Master Tenant LLC shall promptly notify Calder Works Owner LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 4.3 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 4.4 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 4.5 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 4.6 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 4.7 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 4.8 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 4.9 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 4.10 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 4.11 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 4.12 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Article 5

Section 5.1 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 5.2 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 5.3 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 5.4 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 5.5 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 5.6 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Section 5.7 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 5.8 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 5.9 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 5.10 Representations Regarding the Property. Calder Works Master Tenant LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Section 5.11 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 5.12 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Article 6

Section 6.1 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 6.2 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 6.3 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 6.4 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 6.5 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 6.6 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 6.7 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 6.8 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 6.9 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 6.10 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 6.11 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 6.12 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Article 7

Section 7.1 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 7.2 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 7.3 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 7.4 Estoppel Certificates. Within ten business days after request by Calder Works Owner LLC, Calder Works Master Tenant LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 7.5 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 7.6 Assignment. Calder Works Master Tenant LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Calder Works Owner LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 7.7 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 7.8 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 7.9 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 7.10 Books and Records. Calder Works Master Tenant LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Calder Works Owner LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 7.11 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 7.12 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Master Tenant LLC beyond those expressly stated herein.

Article 8

Section 8.1 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 8.2 Compliance with Laws. Calder Works Master Tenant LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 8.3 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 8.4 Indemnification. Calder Works Master Tenant LLC shall indemnify, defend and hold harmless Calder Works Owner LLC and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Master Tenant LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Master Tenant LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 8.5 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 8.6 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 8.7 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 8.8 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 8.9 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 8.10 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Section 8.11 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 8.12 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Article 9

Section 9.1 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 9.2 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Section 9.3 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 9.4 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 9.5 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 9.6 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Section 9.7 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 9.8 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 9.9 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 9.10 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 9.11 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 9.12 Insurance. During the term of this Agreement, Calder Works Master Tenant LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Calder Works Owner LLC may reasonably require. Each policy shall name Calder Works Owner LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Article 10

Section 10.1 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 10.2 Environmental Matters. Calder Works Master Tenant LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Master Tenant LLC shall promptly notify Calder Works Owner LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 10.3 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 10.4 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 10.5 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 10.6 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 10.7 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 10.8 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 10.9 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 10.10 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 10.11 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 10.12 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Article 11

Section 11.1 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 11.2 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 11.3 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 11.4 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 11.5 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 11.6 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Section 11.7 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 11.8 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Article 18 - Tax Credit Matters

Section 18.3 Lessor shall make the election provided in Section 50(d)(5) of the Code to treat Lessee as having acquired each Building for purposes of the rehabilitation credit, and shall deliver a copy of the election statement, as filed, to Lessee and the Investor Member within thirty (30) days after the placed-in-service date of each Building.

Section 11.9 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 11.10 Representations Regarding the Property. Calder Works Master Tenant LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Section 11.11 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 11.12 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Article 12

Section 12.1 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 12.2 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 12.3 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 12.4 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 12.5 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 12.6 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 12.7 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 12.8 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 12.9 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 12.10 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 12.11 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 12.12 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Article 13

Section 13.1 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 13.2 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 13.3 Leasehold Mortgage. Lessee shall not mortgage or otherwise encumber its leasehold estate. Lessor may encumber the fee estate with the Construction Loan and the Permanent Loan, provided that each such mortgagee executes a subordination, non-disturbance and attornment agreement in favor of Lessee in form reasonably acceptable to Lessee and the Investor Member.

Section 13.4 Estoppel Certificates. Within ten business days after request by Calder Works Owner LLC, Calder Works Master Tenant LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 13.5 Casualty. If either Building is damaged by fire or other casualty, Lessor shall restore such Building to substantially its prior condition, consistent with the Secretary of the Interior's Standards, to the extent of available insurance proceeds, and Base Rent for such Building shall abate in proportion to the untenantable portion until restoration is complete.

Section 13.6 Assignment. Calder Works Master Tenant LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Calder Works Owner LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 13.7 Base Rent. Commencing on the Rent Commencement Date for each Building, Lessee shall pay Base Rent for such Building in equal monthly installments in the amounts set forth in Schedule R, which amounts the parties acknowledge have been determined to approximate fair rental value and are intended to support characterization of this Master Lease as a true lease for federal income tax purposes.

Section 13.8 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 13.9 Additional Rent. In addition to Base Rent, Lessee shall pay as Additional Rent all impositions, insurance premiums, utilities and operating expenses attributable to the Premises, and, for each Lease Year, Participation Rent equal to ninety percent (90%) of Net Operating Cash Flow from the Premises in excess of the sum of Base Rent and the Lessee Priority Return.

Section 13.10 Books and Records. Calder Works Master Tenant LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Calder Works Owner LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 13.11 Term. The term of this Master Lease commences on the Effective Date and, unless sooner terminated, expires on the date that is thirty-nine (39) years after the Rent Commencement Date for Building B; provided that Lessee shall have no right to terminate this Master Lease during the Credit Period of either Building.

Section 13.12 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Master Tenant LLC beyond those expressly stated herein.

Article 14

Section 14.1 Use. Lessee shall use the Premises solely for residential rental purposes and ancillary amenity uses, and shall not use or permit the use of any portion of the Premises in a manner that would cause any portion thereof to be treated as tax-exempt use property within the meaning of Section 168(h) of the Code.

Section 14.2 Compliance with Laws. Calder Works Master Tenant LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 14.3 Rehabilitation Covenant. Lessor shall cause the Rehabilitation of each Building to be completed in accordance with the Approved Part 2 Application and its conditions, and shall not, without Lessee's consent, permit any change that could reasonably be expected to jeopardize certification of the completed work under Part 3.

Section 14.4 Indemnification. Calder Works Master Tenant LLC shall indemnify, defend and hold harmless Calder Works Owner LLC and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Master Tenant LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Master Tenant LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Signatures

LESSOR: Calder Works Owner LLC

LESSEE: Calder Works Master Tenant, L.L.C.